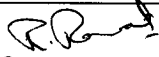
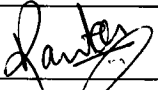
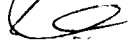


	Title: Regulations for System Deviation	Document No.: CMRHR2016-10
		Revision: Revision 1.0
		Effective Date: 1/01/2016
		Valid till: Next Revision

Approvals:

Particulars	Name	Designation	Date of Approval	Signature
Prepared by	Ritu Rawat	DGM – HR	2/1/2016	
Recommended by	P M Gautam	Chief Executive Officer	2/1/2016	
Approved by	Mohan Agarwal	Managing Director	2/1/16	

Implementation	The HR Department will be responsible for the effective administration of this policy
Policy Supersedes:	Regulations for System Deviation (Document No. CMR/HRD/RSD effective date 1 st May 2015)

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1. Objective

The objective of this policy is

- 1.1 The removal of financial penalties on employees and establishment of a fair & equitable system to bring to record a mistake of omission or commission resulting into :

- 1.1.1 Significant financial losses to the organization
- 1.1.2 Inordinate delay in important official work or activities
- 1.1.3 Loss of reputation to the organization
- 1.1.4 Gross indiscipline or misconduct
- 1.1.5 Disobedience or defiance of seniors
- 1.1.6 Adverse impact on employees' morale
(Substantial risk with regard to any of the above)

- 1.2 Providing a chance to employee to improve behavior/ mistake

2. Scope & Applicability

The policy is applicable to all employees, whether permanent or otherwise, who are working for the CMR Group

3. Card System & Issuance

- 3.1 Three kind of cards may be issued to the defaulter by the issuing authority for deviant behavior under the scope of clause 1, depending upon the severity of the offence

- 3.1.1 **Yellow Cards** to be issued for less severe mistake

- 3.1.2 **Red Cards** to be issued only in case of:

- 3.1.2.1 Wilful default
- 3.1.2.2 Gross negligence causing significant losses or loss of reputation to the organization
- 3.1.2.3 Gross indiscipline or misconduct

- 3.1.3 **Green Card** to be issued

- 3.1.3.1 To nullify a Red Card/ Yellow Card in case the deviant employee is able to:

- 3.1.3.1.1 Rectify and significantly improve his past mistake
- 3.1.3.1.2 Cause gains to the organization by his /her efforts

4. Referring, Recommending & Issuing Authorities

For issuance any card to a defaulting employee, referring recommending and approving authorities would be as follows-

Defaulting Employee	Referring Authority	Recommending Authority	Issuing Authority
Workman & staff up to the level of Sr. Executive	Concerned Dept. Head at plant/ at Corporate	Unit HR Head/ Corporate HR Head	Unit Head /Corporate Functional Head





Asst. Manager - Manager	Concerned Unit Head/ Functional Head	Corporate HR Head	ED/CEO/CFO
Sr. Manager & Above	Unit Head/ Function Head or ED/CEO/CFO whosoever is immediate superior		Managing Director

5. Procedure for Red/ Yellow Cards

ACTIVITIES		TIMEFRAME	RESPONSIBILITY
5.1	Show Cause		
5.1.1	The referring authority would initiate show cause against the defaulting employee in writing and seek his/her clarification	Within 3 days of the default	Referring Authority
5.1.2	The defaulting employee would be required to submit his/ her clarification in writing	Within 2 days of the show cause notice	Employee
5.1.3	Referring authority will send the show cause & the clarification to the recommending authority specifying the card to be issued	Within 2 days	Referring Authority
5.2	Recommendation		
	The recommending authority will examine the case independently and give his/her recommendation and forward it to the Issuing Authority	Within 2 days of receipt from referring authority	Recommending Authority
5.3	Card Issuance		
	The Issuing authority will take the final decision on whether or not and type of card to be issued. The note would go to the referring authority through recommending authority (HR) to issue the card	Within 2 days of receipt of recommendation	Issuing & Recommending Authority
5.4	Communication & Records		
	HR would maintain the approval & record in the personal file of the employee to be attached at the time of his/her appraisal	At the time of appraisal	HR dept.

6. Procedure for Green Cards

ACTIVITIES		TIMEFRAME	RESPONSIBILITY
6.1	Green Card Initiation		
6.1.1	The referring authority would initiate the process for issue of green card to the employee with reasons	Within 1 week of the activity	Referring Authority
6.2	Recommendation		

	The recommending authority will examine the case independently and give his/her recommendation and forward it to the Issuing Authority	Within 2 days of receipt from referring authority	Recommending Authority
6.3	Card Issuance		
	The Issuing authority will take the final decision on whether or not the card is to be issued. The note would go to the referring authority through recommending authority (HR) to issue the card	Within 2 days of receipt of recommendation	Issuing & Recommending Authority
6.4	Records		
	Maintain the approval & record in the personal file of the employee to be attached at the time of his/her appraisal	Monthly	HR Dept.

7 Implications of cards on Employee

7.1 Two yellow cards issued in an appraisal period would be deemed to be one red card

7.2 Depending on the number of cards issued to an employee during an appraisal period, impact on his increment would be as follows:

Number of cards	Red Cards issued in an appraisal period
One	Reduction of 50% in increment
Two	No increment

Number of cards	Green Cards issued in an appraisal period
One	Nullify one red card or yellow card
Two	Nullify two red cards

7.3 If an employee is issued 3 red cards in an appraisal period, his services would be terminated

8 Reporting of Cards

7.4 Every plant HR will submit the following recurring report at the end of the month to Corporate HR in his/her MIS report

Unit name	Card Issued to	Type of card	Month & Year of issue	Reason	Improvement Status

7.4.1 Improvement status column will track the improvement made by the employee in the months following the mistake and has to be reported accordingly

7.4.2 An employee once a part of this report will not be removed till the time of recommendation from issuing authority for removal in the improvement status

7.5 Corporate HR will present the same in his/her review meeting to the MD

Summary of Changes

Revision	Effective Date	Changes	Reason
Revision 1.0	01-01-16	CXO term has been replaced by CEO/CFO in the policy	For further clarity
		Changes in clause 7 to make increase the penalties against cards	To increase effectiveness of yellow & red cards
		Change in clause 1 & 7 to restrict the use of green cards for nullifying yellow/ red cards only	Since the positive impact of good performance is taken care of at the time of appraisals, it has been removed from this policy
		Addition of Clause 8 for reporting of cards	To review the improvement status of those who have been issued cards



